

**ACTIVITY REPORT
AND BALANCE SHEET**

2005 0 6
OF THE BANQUE DE KIGALI



BANQUE DE KIGALI

ANNUAL REPORT AND ACCOUNTS 2005 OF THE BANQUE DE KIGALI

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BANQUE DE KIGALI

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Key figures of Banque de Kigali

	Exchange rate USD 1 = RWF				
(RWF million)	512.35 2002	581.26 2003	579.31 2004	555.65 2005	2005/ 2004 (%)
Total assets	51,410	57,398	62,226	70,472	+ 13.3
Amounts due to customers	36,286	43,830	50,265	56,692	+ 12.8
Loans and advances to customers	18,102	21,455	26,689	33,007	+ 23.7
Debt securities including fixed-income securities	0	0	0	0	+ 0.0
Capital and reserves (after appropriation)	3,108	3,280	4,656	7,012 ^(*)	+ 50.6
Gross income	5,345	6,376	7,511	7,877	+ 4.9
General expenses	2,851	3,116	3,768	3,758	- 0.3
Gross profit on ordinary activities	2,494	3,261	3,742	4,119	+ 10.1
Depreciation, write-downs and provisions for taxation	1,570	2,199	2,152	1,752	- 18.6
Net profit for the period	924	1,007	1,591	2,367	+ 48.8

^(*) Inclusion of provisions for general risks (RWF 606m), exceeding provisions for bad debts (RWF 568m), and appropriation of profit for the 2005 financial year to the bank's equity capital.

PRUDENTIAL RATIOS

(as % of appropriation)

	2002	2003	2004	2005
Solvency ⁽¹⁾ (CAD)	12.06	12.95	14.78	14.49
Liquidity ⁽²⁾	75.00	93.00	98.00	94.00
Fixed investments/gross equity capital ⁽³⁾	64.88	49.64	29.06	42.55
Fixed assets/gross equity capital ⁽⁴⁾	64.88	49.64	29.06	42.55
Fixed assets + other assets/permanent resources (M/LT) ⁽⁵⁾	48.91	50.86	61.64	67.26
Return on equity (ROE) ⁽⁶⁾	29.73	30.70	34.17	33.76
Return on assets (ROA) ⁽⁷⁾	1.80	1.75	2.56	3.36
Cost-income ratio (CIR)	53.34	48.87	50.17	47.71

⁽¹⁾ Ratio between equity capital determined according to the regulations issued by the National Bank of Rwanda (NBR), assets and off-balance sheet items weighted by degree of risk. The minimum ratio imposed is 10%

⁽²⁾ Minimum requirement: as at 31 December 2000: 85% - as at 31 December 2001: 100%

⁽³⁾ Ceiling: 75%

⁽⁴⁾ Unpaid assets: 0

⁽⁵⁾ Ceiling: 100%

⁽⁶⁾ Ratio between net profit and average capital and reserves

⁽⁷⁾ Ratio between net profit and average balance-sheet totals

Message from the General Managers

"Definite confidence despite a difficult environment"

Bank net profit up by 48.8%

Banque de Kigali closed the 2005 financial year with excellent results posting a sharp rise, as shown in the key figures table. The bank capitalised on a few brighter periods in the national economy. As such, it strengthened its leading position in the domestic market, thanks to its organisational efficiency and business strategy.

It was also an excellent year for the Rwandan economy. Gross domestic product (GDP) posted real growth of 6.3%, compared with 3.9% in 2004. This situation was attributable to the excellent performance displayed by all the sectors of the economy, despite the ongoing energy crisis that has beset the country since 2003. The rate of inflation was held in check around 9%, compared with 12% in 2004.

Despite intense competition in the sector, mainly characterised by downward pressure on prices, the bank's net profit rose by 48.8% in 2005. At the same time, an increased level of investment in deposits was observed owing to the scarcity of liquid funds in the money market and opportunities for investment in Treasury bills at attractive rates.

Launch of the Visa Horizon project

In February 2005, the NBR and all the retail banks rolled out the Visa Horizon electronic card in collaboration with Simtel. Although it is still early days for this activity. Making customers aware of this new means of payment is a long process, and various technical problems have emerged during the rollout phase. In the long term, Simtel envisages the use of international credit cards at automated teller machines (ATMs), which will give foreign visitors access to these payment facilities.

Extension of the bank's head office

The extension of the bank's head office by Roko Constructions is progressing as planned. The construction work got under way at the end of August 2005. According to the Project Manager's forecasts, the bank's departments should be able to move into the new building by the end of 2006. The renovation work being carried out at the current head office should, in principle, be completed by the end of April 2007.

Quality on the road to excellence

We would like to thank and pay tribute to the bank's staff who, despite a relatively difficult economic climate, performed their day-to-day duties with a professional and dedicated attitude. We have a number of challenges to meet in the near future. So we, assisted by the bank's staff, are preparing strategies that will allow us to achieve the objectives that we have set, including increasing our performance and providing our customers with a high-quality, superior service on the road to excellence.



JAMES GATERA
Assistant General Manager



RÉGINALD THIBAUT DE MAISIÈRES
General Manager

The socio-economic situation in Rwanda

ECONOMY IN 2005: OVERALL VIEW

2005 was mainly characterised by a remarkable annual rate of GDP growth. At RWF 712.75 billion, compared with RWF 668.35 billion in 2004, the rate increased from 3.9% in 2004 to 6.3% in 2005.

The table below shows the change in the GDP growth rate by sector of activity between 2002 and 2005:

Change in GDP (RWF million on a comparable basis with 1995)				
Sector of activity	2002	2003	2004	2005 (est.)
Agriculture	297,908	286,820	291,241	308,761
Industry	110,904	118,953	126,925	140,070
Services	224,971	234,057	253,243	268,942
Import taxes	11,171	11,785	12,020	11,911
Income from banking services	(11,250)	(12,488)	(15,079)	(17,416)
GDP (RWF million on a comparable basis)	633,704	639,128	668,350	712,756
Annual growth rate (GDP)	9.4%	3.4%	3.9%	6.3%

Source: Ministry of Finance and Economic Planning, Macroeconomics Division

Increase in GDP

The growth in GDP is due to a number of factors, including the excellent performance posted by the agricultural sector owing to regular rainfall, mainly during the second half of the year. A number of structural reforms were introduced in 2005, including the new leasing law, an overhaul of the banking law, more effective coordination as regards the promotion of exports, the continued policy of privatising State-owned companies, and controlling the management of public funds.

Decline in inflation

With an annual average of 9%, compared with 12% in 2004, inflation was down in 2005. The central bank conducted a rigorous monetary policy as an effective response to the demand for means of payment from economic operators experiencing a business boom in 2005, compared with the last two years.

Monetary stability

Despite the rise in oil prices in the international markets and the repercussions on the national energy bill, the national currency was remarkably stable and even appreciated against the main foreign currencies. This situation is explained by the stable money supply, which was instrumental in reducing the pressure on the demand for foreign currency in the forex market. The steady national currency was a reflection of the abundant supply of foreign currency in the forex market.

Net foreign assets in the banking system rose year on year from RWF 172.8 billion to RWF 277.3 billion as at December 2005. This increase in foreign assets was due to a significant flow of foreign aid received in 2005 in the form of budgetary support and project financing. In addition, the excellent performance posted by exports generated national revenue of USD 125 million in 2005, compared with USD 97.9 million in 2004. The foreign currency reserves held at the central bank rose year on year from USD 314

million to USD 408 million at the end of December 2005, i.e. the equivalent of 7.6 months of imports.

Overall, the balance of payments showed a positive result of USD 119.16 million in 2005, compared with a credit balance of USD 107.9 million in 2004. This result is mainly explained by non-recurring official transfers of USD 317.8 million received in 2005, compared with USD 278.9 million received in 2004.

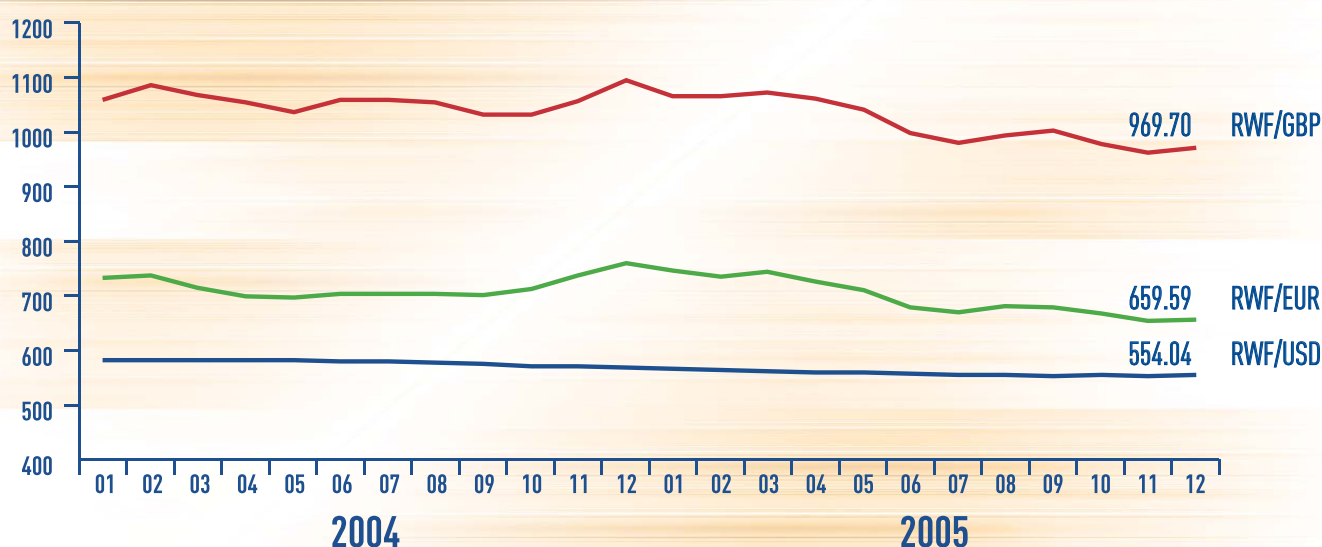
During 2005, the NBR continued to intervene in the money market, by stepping up liquidities borrowing transactions, combined with Treasury bill issues. In 2005, the NBR also introduced an overnight facility, which allows banks with surplus cash to place with the central bank for 24 hours excess liquidities that they cannot place in other sections of the money market. The ultimate aim of all these measures is to stabilise prices and, therefore, to control inflation.

In early August 2005, the NBR decided to set a "key" interest rate, which will from now on represent the base rate in the money market for deposit and credit transactions in

the banking system. This new mechanism includes a "corridor" that sets the rate limits applied in the interbank market. The ceiling of this corridor corresponds to the rate which the central bank applies as the lender of last resort to banks experiencing cash-flow problems. The floor corresponds to the interest rate applied as part of the overnight facility offered to banks which, during any given day, have not been able to place some of their excess liquidities elsewhere. This interbank corridor has been set at between 5% and 12.5%, and the central bank's key rate at 9%.

Appreciation of the Rwandan franc

Throughout 2005, the national currency continued to appreciate against the strong foreign currencies used in international trade, i.e. the US dollar, the euro, and sterling. The changes in the RWF exchange rate in relation to these three currencies (see graph below) show that, between December 2004 and December 2005, the national currency appreciated by 2% against the US dollar, nearly 9% against sterling, and 12% against the euro.



Source: NBR, International Transactions Department

The exchange rate fixed daily by Banque de Kigali also confirmed that the Rwandan franc has appreciated against strong foreign currencies, mainly the US dollar.

The changes in the USD/RWF exchange rate in 2005 are shown below:

AVERAGE BK USD/RWF EXCHANGE RATE		
	2004	2005
4 January	583.26	567.21
31 December	567.21	555.65
% change	-2.75%	-2.03%

GOVERNMENT POLICY

The objectives of the Government Programme for 2005 remained identical to those set the previous year. They consisted mainly in:

- ▶ maintaining macroeconomic stability and continuing to implement the Poverty Reduction and Growth Facility (PRGF) programme agreed with the International Monetary Fund (IMF);
- ▶ continuing to decentralise government activities and to strengthen the transparency of procedures for managing public finances;
- ▶ achieving a GDP growth rate of 3.2%, curbing the average annual inflation rate around the 5% mark, and increasing foreign currency reserves to ensure a margin of at least seven months of imports;
- ▶ continuing the reforms of the financial sector (audit of retail banks, study into improving the performance of the financial sector, preparing legislation on money-laundering, and combating terrorist activities);
- ▶ improving the economic environment for business as part of the policy to promote investment, and continuing the programme to privatise public companies.

2005 was characterised by a significant increase in tax revenues, which rose from RWF 139.55 billion in 2004 to RWF 184.23 billion in 2005. This performance is explained by the tax reform undertaken for the last two years and by more effective organisation of the Rwandan tax authorities. The opening up of the Rwandan market to products originating from member countries of the Common Market of Eastern and Southern Africa (COMESA) also explains the increase in these tax revenues.

Innovation in the banking sector was marked by a number of microfinance institutions, which were set up and became operational throughout most of the country. The modernisation of means of payment has also been an innovative factor, including the introduction of a magnetic card by Simtel and its use in ATMs, Electronic Payment Terminals (EPTs), and the semiautomatic netting of assets exchanged between retail banks.

DEVELOPMENT OF THE PRIVATE SECTOR

In 2005, the Rwandan government continued its policy of privatising State-owned companies. The most significant event was the privatisation of the public telephony company Rwandatel. The Rwandan government decided to sell its shares, i.e. 99% of the capital, to the US company Terracom Sarl for USD 20 million. This sale occurred on 16 June 2005. In addition to this takeover, Terracom acquired a mobile telephony licence. It therefore becomes the second-largest operator in the national market after MTN Rwandacell.

In early March 2005, the Privatisation Secretariat organised a conference on rice-growing and the privatisation of four rice-growing units (Kabuye in Kigali, Rwamagana in Kibungo, Gikonko in Butare, and Bugarama in Cyangugu). The rice-grower associations are among the future acquirers. They want to participate in the new management of these factories alongside "strategic" investors and financial institutions.

In early May 2005, the Privatisation Secretariat also opened the bidding for the purchase of the pig-rearing unit in Kabuye, Kigali, and for the valuation of the four tea-growing units in Mata, Kitabi, Shagasha, and Gisakura. A

consultant responsible for advising the Rwandan government on the privatisation of these tea-growing units has been recruited.



2005 SUMMARY Banque de Kigali

ORGANISATION AND IT

2005 was essentially marked by the following major projects:

- the start-up of e-banking transactions in national currency on local debit cards;
- the installation of three ATMs and 26 points of sale (POS) at some of our retail customers;
- the purchase and installation of an IBM P630 back-up IT server identical to the production server;
- the start-up of B-WEB Internet Banking making it possible to view transactions and account statements and to initiate local currency transfers from home;
- the automation of internal reporting for the Accounts Department;
- the updating of customers' details as part of compliance instructions;
- the installation of a firewall and a virtual private network with Belgolaise;
- the branch-wide installation of software to enable processing of Western Union transactions via the internet.

HUMAN RESOURCES

Training continued to take centre stage in human resources management. As an illustration, various modules have been developed:

- customer relations to improve the quality of welcoming customers to the bank;
- "corporate culture" aimed at improving performance to help develop cohesion and a sense of belonging;
- recovery techniques;
- training in English/French;
- stock and supply management;

- medical counselling, payment and administration of anti-retroviral (ARV) drugs;
- internal audit;
- Western Union training organised in Morocco.

GENERAL SERVICES

Improving the working framework of staff was continued in 2005, and a reception counter for customers using Simtel electronic banking cards was opened at the head office. Renovation work at the Gisenyi, Ruhengeri, and Butare branches was also carried out.

To provide a quality service to customers, the bank's management decided to open a branch near Remera at the end of July 2005, mainly to serve customers living in the East of the capital. The Kacyiru branch was relocated to a new building situated near the Kacyiru roundabout.

The work to extend the bank's head office started on 22 August 2005. The work was entrusted to Roko Constructions. According to the timetable drawn up by this company, the work will take 22 months. Departments should be relocated to the new building during December 2006.

AUDIT AND COMPLIANCE

The audit team carried out assignments in most of the entities specified in the audit scope, with a view to giving an opinion to the general management on the effectiveness and efficiency of internal controls and compliance with the prevailing legislation and regulations.

Focus was also given to the monitoring of assignments carried out locally by the statutory auditor and Belgolaise's audit team.

An Internal Audit & Compliance Committee composed of the General Manager, the Manager of the Finance & Control Division, the Compliance Manager, and the Senior Auditor has been set up with the aim of supporting the efforts under-

taken to strengthen the bank's internal control system, implementing audit recommendations (internal, Belgolaise, external, and NBR), and introducing measures to combat money-laundering.

With regard to training, the Senior Auditor took part in a conference on "Corporate culture: how to improve performance"; an internal auditor took part in a conference organised by the NBR on analysis and NBR instruction n 05/2005 relating to the duty of care of banks and other financial institutions.

LENDING

In 2005, Banque de Kigali granted loans to 2,365 customers totalling RWF 25.9 billion, including RWF 21.6 billion in open-ended loans and RWF 4.3 billion in fixed-term loans. As at 31 December 2005, loans totalling approx. RWF 5 billion had not yet been set up.

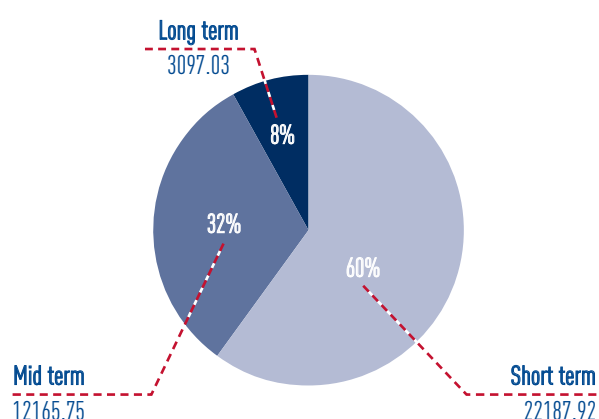
Breakdown of loans by sector of activity (RWF million)

SECTOR OF ACTIVITY (RWF thousand)	31/12/2004	31/12/2005	%
1 Agriculture, cattle rearing, forestry, fishing	544.88	1,567.43	
2 Mining industries	0.00	104.35	
3 Manufacturing industries	5,964.40	5,999.86	
4 Energy and water	0.00	20.37	
5 Public works and buildings	6,374.54	7,827.85	
6 Retail, restaurants and hotels	16,059.93	15,555.56	
7 Transport, warehouses and communication	2,069.28	3,151.62	
8 AIF, insurance, property businesses	380.64	1,416.23	
9 Services provided to local communities	136.50	160.10	
10 Miscellaneous activities	439.25	1,647.33	
Total	31,969.42	37,450.70	+ 17%

In terms of loan duration, there is more short-term financing than medium and long-term financing. This situation is explained by the fact that the bank's resources are mostly geared towards the short term.

Situation as at 31 December 2005 (RWF million):

Credit financing



Total credits outstanding were RWF 37.4 billion as at 31 December 2005, compared with RWF 31.9 billion the previous year, representing a 17% increase.

The main increases were observed in the following sectors:

- agricultural activities: increase of 187.6% (mainly due to the financing of feverfew);
- major increase in the mining industry due to fresh lending granted to mining companies;
- increase of 52.3% in the transport sector. (This situation is the consequence of the government's decision to scrap official vehicles used by civil servants; they have had to apply for bank loans to purchase their own means of transport);
- considerable increase of 276.7% for loans granted to households (the rise in applications in this sector results from the fact that the repayment period has been extended from the original 12 months to 24 months).

Exports made via Banque de Kigali did not increase. The export of coffee, which is always the leading commodity, declined as national production was down on 2004.

Exports in tonnage

Exports via Banque de Kigali (expressed in tonnes)		
Products	2004	2005
Coffee	9,326	5,170
Tea	2,166	2,997
Cassiterite	1,183	1,451
Coltan	652	128
Wolframite	456	442
Beryl	0	142
Feverfew	0	0
Skins	541	0

FOREIGN AID

Under Loan IDA-3483-RW, Banque de Kigali obtained refinancing for lending to the rural sector, totalling RWF 1.75 billion.

RISK MONITORING

Banque de Kigali continued its policy of consolidating guarantees. It obtained mortgage registrations totalling RWF 335 million in 2005. However, many files are in the process of being registered with the Land Registry.

To strengthen its guarantees, the bank has the option of resorting to the Agricultural Guarantee Fund, which covers financing in the coffee sector.

Reforms of the Rwandan judicial system have not facilitated the recovery of bad debts.

Under Law no. 07/2004 of 25 April 2004 relating to the Organisation, Functioning and Judicial Competence Code, specialist commercial divisions have been set up at the Kigali District Court and at certain provincial courts. These divisions should sit in the presence of a single judge, assisted by two assessors from legally incorporated traders' associations. The drawback is that, in the case of commercial transactions,

the law limits the capacity of assessors solely to individual traders. This restriction does not allow banking institutions to appoint associate judges (assessors). However, a bill to amend certain provisions of the above-mentioned law is being prepared by the Rwandan parliament.

To overcome the situation, the bank's Legal Department has been obliged to gear 80% of its efforts towards the more tricky method of amicable recovery to meet the targets set.

The amount of recovered bad debts has been more encouraging since 2001, as shown in the table below:

(expressed in RWF)	Files becoming contentious	Recovery of contentious files
1997	334,553,646	251,198,593
1998	323,316,017	427,458,877
1999	1,126,675,886	485,987,196
2000	1,706,919,718	518,511,483
2001	1,575,353,757	961,672,848
2002	1,480,424,115	1,025,544,396
2003	497,110,459	991,937,758
2004	939,918,906	1,189,270,465
2005	116,643,903	879,407,463

CORPORATE GOVERNANCE

"Compliance"

Nowadays, the business world has become aware of the international threat presented by terrorism and the need to combat drug trafficking and money-laundering.

Combating money-laundering has become a major challenge; financial institutions endeavour to meet this challenge to prevent the banking system from being used for the purposes of recycling funds originating from criminal activities.

To that end, Banque de Kigali has taken preventive measures, including the appointment of a "Compliance Officer", whose task is obviously to monitor compliance, implying re-

maintaining alert to any violation of operating principles and standards, both internally and arising from legal and regulatory stipulations. As the "Know Your Customers - KYC" standards are now in force and universally accepted as being a component of a professional code of ethics for the finance sector, the bank has initiated a review of the procedures for opening an account, taking the new "compliance" requirements into consideration.

In collaboration with the Organisation, IT and Operations Divisions, a unit has been set up that is responsible for reviewing all customer files and regularising existing file details. The general management has also set up an "Audit & Compliance Committee" to support the efforts undertaken as regards internal control.

In addition, a mission from the World Bank and the IMF stayed in Rwanda in the second half of 2005, for the sole purpose of providing technical assistance with the drafting of a legal framework to combat terrorism and money-laundering.

Following this meeting, the NBR adopted Directive no. 05/2005 relating to the duty of care of banks and other financial institutions. This document emphasises in particular the identification of customers and the duty of care that banking institutions have towards high-risk accounts.

BANQUE DE KIGALI'S ACTIVITIES

- OPERATIONAL

The volume of customer deposits in Rwandan francs rose by 16%, compared with the 2004 financial year. The presence of two branches in Kigali and six branches nation-wide made a positive contribution to the increased resources.

Banque de Kigali opened a new branch in the Remera district and relocated the Kacyiru branch situated in the Rwandatel building to the M. Kayitana Imanzi building, owing to its strategic position in commercial terms.

As at 31 December 2005, amounts due to customers reflect the following increase in deposits when compared with the 2004 financial year:

(RWF billion)	2004	2005	Variations
Demand deposits	40.033	45.636	+ 14.00%
Fixed-term deposits	7.265	9.412	+ 29.55%
TOTAL	47.298	55.048	+ 16.39%

The bank continued its policy of investing its cash surplus in the money market organised by the NBR and via subscriptions to liquidities loans and short-term Treasury bills.

Outstanding subscriptions held steady throughout the 2005 financial year, ranging from RWF 8 billion to RWF 11 billion.

Foreign currency transactions were marked by the strengthening of the Rwandan franc against the US dollar. As at 31 December 2005, the USD/RWF exchange rate had dropped by 2%, compared with the previous year.

The volume of foreign currency repatriations dipped following the drop in transfers received in favour of road construction companies, which had completed their work during the first half of 2005.

The supply of US banknotes received by the Gisenyi and Cyangugu branches meant that the bank had to resort less and less to importing these banknotes.

Please see below for comparative statistics for 2004 and 2005:

Exchange value in USD million	2004	2005
Cash purchases of foreign currency	97.310	90.583
Cash sales of foreign currency	17.007	17.214
Imported foreign currency in cash	38.810	23.000
USD cash withdrawals	40.494	57.000
TOTAL	193.621	187.797

The volume of imports rose from RWF 34.304 billion in 2004 to RWF 42.338 billion in 2005, representing a 13% increase. The reasons for this growth include:

- ▶ the increased demand for oil products owing to fuel supplies for the generators of electricity company Electrogaz. These generators compensate for the energy shortfall experienced by the Rwandan national grid;
- ▶ the government's policy of "scrapping official cars for civil servants", which increased vehicle imports to tackle the demand from government officials, whose vehicles were sold at auction to private individuals.

A comparison of imports for 2004 and 2005 is shown below:

Exchange value in RWF billion	2004	2005
By bank transfers	30.116	34.280
By documentary credits	5.671	7.010
By documentary remittance	1.517	1.048
Total	37.304	42.338

- SALES DIVISION

"Banking market"

The banking market has experienced major upheaval following the restructuring of two local retail banks. During the 2005 financial year, the Sales Division attempted to consolidate 2004's achievements by maintaining the balance between the resources-jobs ratio at an acceptably low level, and by undertaking efforts in the collection of resources originating from ever-changing depositors in hitherto untapped sectors. The Sales Division also developed a policy for granting sound and repayable short-term loans.

Despite intense competition, Banque de Kigali managed to maintain its leading position in the domestic market, by favouring an increased presence of sales representatives in the field. This competition resulted in a downward trend in pricing terms offered by the banks. The rate of return on deposits increased owing to the lack of liquidities in most of the

banks and to opportunities for economic operators to invest their surplus liquidities in the very short term (Treasury bills, overnight investments).

"Customer segmentation"

The Sales Division developed a marketing campaign targeted at mid-range customers to achieve one of its prime objectives, i.e. collecting funds. This campaign was instrumental in reducing the bank's overdependence on traditional depositors.

The bank's customers are composed of three segments whose respective weighting, as regards the loans portfolio, is shown below as at 31 December 2005:

Corporate Banking:	53.1%
SMEs:	38.7%
Micro businesses and private individuals:	8.2%
TOTAL	100.0%

"Marketing campaign"

Banque de Kigali devoted a total budget of RWF 71 million to various marketing campaigns. As part of the Western Union marketing plan, the bank supported social initiatives geared more towards young people (Projet Fonds de Solidarité Scolaire du C.S.C. Twese Hamwe, Enfants de Dieu de Ndera, Educational and Sports Holidays). Still in this connection, we also participated in the "10 years of Western Union in Africa" and "Back to School" campaigns.

The bank also sponsored two major events: a regional commercial exhibition, "Rwanda Expo 2005", which brought together economic operators in the countries in the Great Lakes region, and the "Rwanda Open 2005" golf tournament, in which the region's best players took part.

The rest of the budget was used for the bank's radio and television advertising, the publishing of brochures, and various advertising media. 2005 closed with a flourish with an end-of-year cocktail party organised for the bank's customers.

"Sundry income"

Despite an increasingly organised competitive environment, the bank's lending portfolio posted growth of 26.2% year on year. The drive to issue new loans has been remarkable (approx. RWF 25 billion of loans actually granted). This result was due to the bank's long-standing professional experience. In reality, the bank was able to take advantage of the best opportunities offered in the local market, such as the public sale to private individuals of houses and vehicles used by government officials, agribusiness projects supported by organisations such as Agribusiness Development Activity in Rwanda (ADAR), the US Agency for International Development (USAID), and the NBR.

"Bancassurance"

At the end of 2005, current guarantees totalled RWF 4,413,680,424, compared with RWF 3,002,285,985 the previous year, representing a 47% increase on 2004. Commission collected by the bank on issued guarantees is estimated at approximately RWF 125 million.

The bancassurance section currently manages three types of insurance: fire, transport and motor. In 2005, bancassurance generated commission for the bank totalling RWF 12.3 million out of a total RWF 134.1 million in premiums collected for insurance companies, i.e. a 24.2% increase on the figure of RWF 9.9 million achieved in 2004.

"Western Union"

This activity generated commission for the bank totalling RWF 176 million, compared with RWF 135 million in 2004, representing a 30% increase. The bank retained a market share that varied between 40% and 43%, compared with the other agent representing Western Union in the country.

"Electronic Banking"

Cash Advance

The bank continued to provide the cash advance facility primarily to tourists, on presentation of Visa, MasterCard and Eurocard credit cards. This product is increasingly popular.

Transactions recorded in 2005 totalled RWF 1,560,800,000, compared with RWF 1,120,848,000 in 2004, representing a 40% increase.

Visa/Horizon

The Visa Horizon bank card issued by Simtel was rolled out in February 2005. It will initially be a debit card, with the option of obtaining a Visa International licence at a later stage. 1,038 bank cards were distributed to customers, while 23 EPTs and three ATMs were installed in 2005.

Internet Banking

B-WEB is an internet banking solution offered by Banque de Kigali to its customers, in partnership with Belgolaise Bank. This efficient tool allows customers to process their banking transactions from home, in a highly secure information exchange environment. B-WEB is an exclusive product of Banque de Kigali and was rolled out in October 2005. The management, maintenance and development of the B-WEB e-Banking software package developed by Belgolaise Bank since 1998 will be provided by the service provider, Clear2Pay, in 2006. This is a guarantee of continued quality for corporate, institutional and personal customers who are using this efficient remote banking tool in increasing numbers.

"Outlook"

As the macroeconomic environment is favourable to business, the Sales Division has developed an ambitious marketing plan:

- ▶ the Marketing Department will continue its canvassing work, by looking for new high-calibre customers in fresh sectors of activity;
- ▶ the bank's branches will be better trained and supervised by a dynamic marketing team. The branches will be required to develop a lending portfolio mainly targeted at private individuals, which will be a contributing factor towards dispersing the bank's liabilities;
- ▶ partnerships will be developed with certain companies to extend the bank's network, with the aim of reaching more customers;
- ▶ developing loyalty among existing customers will remain one of the priorities of the Sales Division.

Notes to the balance sheet and profit and loss account

Balance sheet: + 13.25%

Total assets rose by 13.25% to RWF 70.472 billion, compared with RWF 62.226 billion as at 31 December 2004.

Sharp rise in loans and deposits

We should highlight a 23.67% increase in lending to the economy, which rose year on year from RWF 26.689 billion to RWF 33.007 billion as at 31 December 2005. At the same time, deposits rose by 12.79% to RWF 56.692 billion at the end of 2005, compared with RWF 50.265 billion as at 31 December 2004.

Deposits from banks and other financial institutions stood at RWF 2.687 billion, compared with RWF 2.638 billion for the previous financial year.

Net profit: + 48.8%

Operating income rose from RWF 8.079 billion in 2004 to RWF 8.475 billion for the 2005 financial year. Operating expenses rose by 0.4% to RWF 4.356 billion as at 31 December 2005, compared with RWF 4.337 billion the previous year.

Net profit for the period was RWF 2,367,225,557, representing a 48.8% increase, compared with RWF 1,590,546,875 for the previous period, following allocation of:

- RWF 321,607,739 to depreciation and operating provisions accounts;
- RWF 1,430,230,608 to the provision for taxation.

In view of the amount brought forward from the previous period totalling RWF 4,100,016, the profit to be distributed is RWF 2,371,325,573, including:

► Legal reserve:	RWF	237,000,000
► Ordinary reserve:	RWF	708,000,000
► Special reserve fund:	RWF	237,000,000
► Dividends:	RWF	1,066,520,000
► Directors' percentage of profits:	RWF	118,502,222
► Profit carried forward:	RWF	4,303,351

The dividend per unit share was RWF 23,440 at the end of the 2005 financial year.

Equity capital: RWF 7 billion

Following this distribution, the bank's total equity capital is RWF 7,012,305,447, broken down as follows:

► Statutory capital:	RWF	1,500,000,000
► Legal reserve:	RWF	938,854,000
► Ordinary reserve:	RWF	3,455,060,096
► Special reserve:	RWF	1,069,088,000
► Profit carried forward:	RWF	4,303,351

Taxation

Compared with the previous financial year, the amount of taxes paid by Banque de Kigali is broken down as follows:

(In RWF)	2004	2005
1. Corporation tax	698,810,164	1,272,829,355
2. Staff taxes	448,891,185	572,383,267
3. Withholding tax on behalf of customers	74,271,043	46,799,586
4. VAT	255,807,230	310,788,876
	1,477,779,622	2,202,801,084

Liquidity management: structural data

(RWF million)	31/12/02	31/12/03	31/12/04	31/12/05
Customer deposits	36,286	43,830	50,265	56,692
Loans and advances to customers	18,102	21,455	26,689	33,007
Liquidity of customer transactions	18,184	22,375	23,576	23,685
Liabilities structure	8,563	9,176	9,323	11,094
Assets structure	4,192	3,737	2,877	4,533
Liquidity structure	4,371	5,439	6,446	6,560
Cash liabilities	6,561	4,392	2,638	2,687
Cash assets	29,115	32,206	32,660	32,932
Cash balance	-22,554	-27,815	-30,022	-30,245

Management bodies and breakdown of capital

Board of directors

► Chairman

Mr François-Xavier NGARAMBE

► Vice-Chairman

Mr Baudouin LEMAIRE

► Directors

Mr Jean-François BEYER

Mr Jacques KABALE

Mr Jean Marie Vianney KAREKEZI

Mr Henri LALOUX

Mr Thierry LIENART van LIDTH de JEUDE

Mr Justin UYISENGA

Executive committee

► Chairman

Mr Réginald THIBAUT de MAISIERES

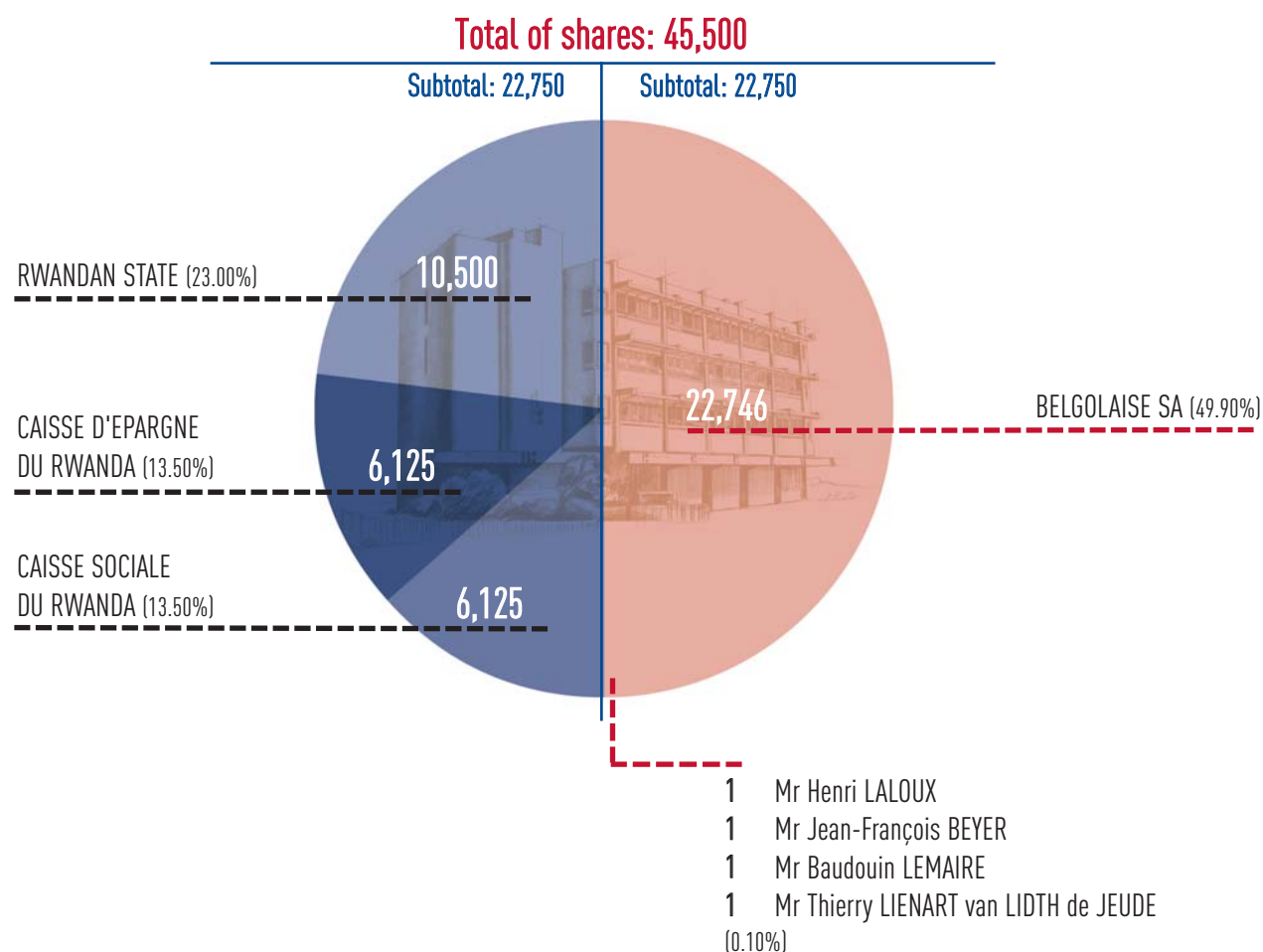
► Members

Mr James GATERA

Mrs Bernadette MUKAMISHA

► Company Secretary

Mr Louis RUGERINYANGE



Balance sheet

Situations at 31 december (in RWF)

Proposed by the Board of directors' meeting of 7 March 2006 and verified by the statutory auditor.

►► ASSETS

	2005	2004
Clearing house, issuing house and Giro account	10,286,458,116	8,604,414,292
Banks and other financial institutions	14,594,973,132	17,340,101,313
Treasury bills and similar securities	8,050,904,787	6,715,948,891
Loans and advances to customers	33,006,747,745	26,689,055,496
Values for collection	0	0
Deferred charges and accrued income and sundry items	1,631,351,063	1,345,020,010
Short-term investment securities and equity investments	514,995,490	163,708,490
Fixed investments	2,386,945,524	1,367,852,203
Revaluation of property	0	0
TOTAL ASSETS	70,472,375,857	62,226,100,695

►► OFF-BALANCE SHEET ITEMS

Security, endorsements, other guarantees on behalf of customers	12,126,699,994	7,607,456,831
Guarantees given by the State or other organisations	0	0

►► LIABILITIES

	2005	2004
DUE FOR PAYMENT		
Issuing house	0	0
Banks and other financial institutions	2,686,852,104	2,628,289,760
Customer in-credit accounts	56,691,769,296	50,274,791,776
- <i>ordinary accounts</i>	45,001,029,555	40,032,894,299
- <i>deposit and notice accounts</i>	9,412,844,346	7,658,297,998
- <i>other amounts due to customers</i>	2,277,895,395	2,583,599,479
Accounts due for payment after collection	0	0
Accrued charges and deferred income, provisions, sundry items	2,896,426,788	3,866,422,335
NOT DUE FOR PAYMENT		
Reserves	4,326,002,096	2,361,696,808
Revaluation surplus	0	0
Capital	1,500,000,000	1,500,000,000
RESULTS		
Profit carried forward	4,100,016	4,353,141
Profit for the period	2,367,225,557	1,590,546,875
TOTAL LIABILITIES	70,472,375,057	62,226,100,695

►► OFF-BALANCE SHEET ITEMS (following)

Sundry items:		
- Securities deposited and under guarantee	0	0
- Deposits in the special guarantee fund	0	234,823,000
- Guarantees received from third parties	26,448,310,365	30,365,310,366
- Other commitments	279,604,430	573,455,713

Profit and loss account

Situations at 31 december (in RWF)

Proposed by the Board of directors' meeting of 7 March 2006 and verified by the statutory auditor.

►► EXPENDITURE	2005	2004	% 2005/2004
Banking operating expenses	598,204,307	567,987,164	+ 5.3
Staff expenses	2,276,224,638	2,303,101,618	- 1.2
Taxation	6,755,353	6,924,284	- 2.4
General operating expenses	1,362,959,449	1,260,884,269	+ 8.1
Allocation for the period to depreciation and operating provisions accounts	321,607,739	880,975,392	- 63.5
Other expenses	111,733,175	197,646,542	- 43.5
Corporation tax	1,430,230,608	1,270,580,702	+ 12.6
Profit for the period	2,367,225,557	1,590,546,875	+ 48.8
Total	8,474,940,826	8,078,646,846	+ 4.9

►► INCOME	2005	2004	% 2005/2004
Banking operating income	8,361,963,798	7,391,756,827	+ 13.1
Sundry income	51,116,161	105,682,012	- 51.6
Write-backs of operating provisions becoming available	0	520,861,519	- 100.0
Other income	61,860,867	60,346,488	+ 2.5
Total	8,474,940,826	8,078,646,846	+ 4.9

Auditor's report on the financial statements

In accordance with the law relating to banks and other financial institutions and with the articles of association of Banque de Kigali, we are pleased to report on the execution of the assignment entrusted to us.

We have audited the annual accounts drawn up under the responsibility of the bank's Board of Directors for the financial year ended 31 December 2005.

Our audit was carried out in compliance with international audit standards (IAS). Our audit was organised and executed to obtain a reasonable assurance that the annual accounts do not contain material inaccuracies in view of the legal and regulatory provisions applicable to the accounts of retail banks in Rwanda.

We have considered the bank's administrative and accounting organisation and its internal compliance arrangements. The bank's managers have clearly responded to our requests for explanations and information. We have carried out a spot check of the substantiation of the amounts shown in the accounts as at 31 December 2005. We have assessed the validity of the valuation rules and significant accounting estimates made by the bank, as well as the overall presentation of the accounts.

We think that this work provides a reasonable basis for expressing our opinion.

Unqualified opinion

In our opinion, the annual accounts for the financial year ended 31 December 2005 give a completely true and fair view of the assets, financial position, and results of Banque de Kigali in accordance with the accounting practices applicable in Rwanda. As at 31 December 2005, assets actually exceed liabilities by RWF 8.197 billion.

Kigali, 18 March 2006,

STATUTORY AUDITOR
DELOITTE RWANDA



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